

Consumer Protection Act (CPA) 2019

The CPA 2019 protects and promotes consumer interests through speedy and inexpensive grievance redressal.

- **Scope:** Wide, applicable to all undertakings (private/public, manufacturer/trader), and both offline and online transactions (electronic means, teleshopping, multi-level marketing, direct selling).
- **Exclusions:** Does not apply to persons obtaining goods for re-sale or commercial purposes.
- **Purpose:** Confers certain rights to consumers to empower and protect their interests.

Importance of Consumer Protection (Consumer's View)

1. **Consumer Ignorance:** Many consumers are unaware of their rights and available reliefs, leading to exploitation. Protection is needed to save them from this.
2. **Unorganized Consumers:** In India, consumers are largely unorganized, and there's a lack of consumer organizations, necessitating consumer protection.
3. **Widespread Exploitation:** Consumers are exploited on a large scale due to unfair trade practices, requiring protection.

Importance of Consumer Protection (Business's View)

1. **Long-term Interest of Business:** Satisfied customers lead to repeat sales and an increased customer base, essential for global competition.
2. **Business Uses Society's Resources:** Businesses use societal resources and thus have a responsibility to work in society's interest.
3. **Social Responsibility:** Businesses have social responsibilities towards various groups (owners, workers, government, customers). Customers should receive quality goods at reasonable prices.
4. **Moral Justification:** It's a moral duty to care for consumer interests and avoid exploitation (defective products, adulteration, false advertising, black marketing).
5. **Government Intervention:** Unfair trade practices can lead to government action, adversely affecting business goodwill.

Rights of a Consumer

1. **Right to Safety:** Protection against goods and services hazardous to life and health.
2. **Right to be Informed:** Complete information about the product (ingredients, manufacturing date, price, quantity, directions).
3. **Right to Choose:** Freedom to choose from a variety of products at competitive prices.
4. **Right to be Heard:** Right to file a complaint and be heard for dissatisfaction.
5. **Right to Seek Redressal:** Right to relief if a product or service falls short of expectations.
6. **Right to Consumer Education:** Right to acquire knowledge and be a well-informed consumer.

Responsibilities of a Consumer

1. **Be Aware:** Know about available goods and services to make intelligent choices.
2. **Buy Standardized Goods:** Purchase only standardized goods for quality assurance (e.g., ISI mark, FPO mark, Hallmark).
3. **Cautious Consumer:** Understand product risks, follow instructions, and use products safely.
4. **Read Labels Carefully:** Check labels for information on price, net weight, manufacturing, and expiry dates.
5. **Assert Yourself:** Demand a fair deal.
6. **Be Honest in Dealings:** Choose legal goods and services; discourage black marketing.
7. **Ask for Cash Memo:** Obtain a cash memo as proof of purchase.
8. **File a Complaint:** File complaints for genuine grievances in an appropriate consumer forum.
9. **Form Consumer Societies:** Form societies to educate consumers and safeguard interests.
10. **Respect the Environment:** Avoid waste, littering, and pollution.

Redressal Agencies/Machinery Under CP Act

1. District Commission

- **Authority:** Established by State Government in each district.

- **Composition:** President (District Judge) and not less than two other members (one woman). Appointed by State Govt.
- **Jurisdiction:** Complaints where value of goods or services does not exceed ₹1 Crore.
- **Judgment:** Refers complaint to the party, sends goods for testing (laboratory), passes order after considering test report and arguments.
- **Appeal:** Aggrieved party can appeal to the State Commission within 45 days.

2. State Commission

- **Authority:** Established by State Government in each state.
- **Composition:** President (High Court Judge) and not less than four other members (one woman). Appointed by State Govt.
- **Jurisdiction:** Complaints where value of goods or services exceeds ₹1 Crore but does not exceed ₹10 Crores. Appeals against District Commission orders.
- **Judgment:** Similar process as District Commission.
- **Appeal:** Aggrieved party can appeal to the National Commission within 30 days.

3. National Commission

- **Authority:** Established by Central Government.
- **Composition:** President (Supreme Court Judge) and not less than four other members (one woman). Appointed by Central Govt.
- **Jurisdiction:** Complaints where value of goods or services exceeds ₹10 Crores. Appeals against State Commission orders.
- **Judgment:** Similar process as District Commission.
- **Appeal:** Aggrieved party can appeal to the Supreme Court within 30 days.

Reliefs Available / Remedies Available to a Consumer

If the consumer court finds the complaint genuine, it can issue directions to the opposite party:

1. Remove defect in goods or deficiency in service.
2. Replace defective product with a new, defect-free one.
3. Refund the price paid or service charges.
4. Pay reasonable compensation for loss or injury due to negligence.
5. Pay punitive damages (in appropriate circumstances).
6. Discontinue unfair/restrictive trade practices and not repeat them.
7. Not offer hazardous goods for sale.
8. Withdraw hazardous goods from sale.
9. Cease manufacturing hazardous goods and desist from offering hazardous services.
10. Compensate for loss or injury under product liability and withdraw hazardous products etc.

Role of Consumer Organisations and NGOs

Consumer organizations and NGOs perform several functions for consumer protection and promotion:

1. **Educating the Public:** Organize training programs, seminars, and workshops on consumer rights.
2. **Publishing Information:** Publish periodicals and other materials about consumer problems, legal reporting, and available reliefs.
3. **Comparative Testing:** Conduct comparative testing of products and publish results for consumer welfare.
4. **Encouraging Protest:** Encourage consumers to protest against unscrupulous, exploitative, and unfair trade practices.
5. **Legal Assistance:** Provide legal aid to consumers.
6. **Filing Complaints:** File complaints in appropriate consumer courts on behalf of consumers.
7. **Initiative in Filing Cases:** Take initiative in filing cases in consumer courts for the general public interest.

Consumer Organisations and NGOs in India

1. Consumer Coordination Council, Delhi.
2. Common Cause, Delhi.
3. Voluntary Organization in Interest of Consumer Education (VOICE), Delhi.
4. Consumer Education and Research Centre (CERC), Ahmedabad.
5. Consumer Protection Council (CPC), Ahmedabad.
6. Consumer Guidance Society of India (CGSI), Mumbai.
7. Mumbai Grahak Panchayat, Mumbai.
8. Karnataka Consumer Service Society, Bangalore.
9. Consumers' Association, Kolkata.
10. Consumer Unity and Trust Society (CUTS), Jaipur.